Warehouse Shift Handover and Inventory Guide

This guide sets out how shift supervisors at our distribution sites conduct handover and keep inventory records consistent between crews. It covers the handover sequence, counting duties, discrepancy escalation and the records that must survive each transition. Every procedure here applies across the 4 operating sites and is reviewed on a 12-month cycle. Supervisors should treat the written handover as the single authoritative record of what one shift passes to the next.

1 Handover Principles and Shift Boundaries

Handover is a controlled transfer of responsibility, not a conversation. The outgoing supervisor remains accountable until the incoming supervisor signs the handover sheet, and the incoming supervisor assumes custody of keys, seals and open tasks at that moment. Boundaries are fixed by roster, and no shift may close without a countersigned sheet. Where a boundary is disputed, the site manager decides and records the decision.

Supporting records are presented in Table 1.

1.1 Preparing Before the Boundary

Role	Before boundary	At boundary	After boundary
Outgoing supervisor	Prepare sheet	Brief and sign	Release crew
Incoming supervisor	Review log	Walk and sign	Assume custody
Site manager	Decide disputes	Receive escalations	Review outcomes

Table 1: Shift boundary responsibilities by role

Preparation begins well before the boundary. The outgoing supervisor confirms that pick queues are cleared or explicitly carried forward, that damaged goods are segregated, and that the dock area is secured. Preparation checklists are completed in sequence so that nothing is signed off prematurely. Any task that cannot be finished is written as a carry-forward item with a named owner and a realistic completion window.

1.1.1 The Handover Walk and Verbal Briefing

The walk follows a fixed route through receiving, storage, packing and dispatch so that both supervisors see the same conditions. The briefing then covers open orders, safety observations, equipment faults and staffing gaps. Neither the walk nor the briefing replaces the written sheet. Supervisors should keep the walk brisk but complete, pausing only where a physical condition needs to be shown rather than described.

Supporting records are presented in Table 2.

Checkpoint	Confirms	Owner	Record
Receiving dock	Seals intact	Outgoing	Sheet
Storage aisles	Stock located	Both	Sheet
Quarantine cage	Cage locked	Outgoing	Register
Dispatch area	Orders cleared	Both	System
Equipment bay	Devices docked	Incoming	Register

Table 2: Handover walk checkpoints and what each confirms

1.1.1.1 Confirming Physical and System Status

Physical status and system status are confirmed separately, then reconciled. The outgoing supervisor demonstrates that seals are intact, that quarantine cages are locked and that scanner devices are docked and charging. The incoming supervisor checks the warehouse management system for open tasks and confirms that the system view matches what was seen on the walk. Differences are noted before either supervisor signs.

1.1.1.1.1 Seals, Keys and Equipment Custody

Custody of seals, keys and powered equipment transfers only against a signature. Each item is listed with its identifier and condition, and any missing item is escalated immediately rather than noted for later. Equipment with a reported fault is tagged out and removed from the available pool. The incoming supervisor confirms that chargers, batteries and access cards are accounted for before releasing the outgoing crew.

1.1.1.1.2 Open Orders and Carry-Forward Tasks

Open orders are listed with order reference, priority and the reason they remain open. Carry-forward tasks are limited to those that genuinely cannot be completed within the outgoing shift, and each carries an owner and a deadline. The incoming supervisor may re-prioritise but must record the change. Tasks carried forward repeatedly across shifts should be raised to the site manager as a capacity signal.

1.1.1.2 Handover Sheet Completion and Signatures

The handover sheet is completed in full before either supervisor leaves the floor. It records the boundary time, the walk findings, open orders, equipment condition and any escalations raised. Both supervisors sign and time-stamp the sheet, and the incoming supervisor files it in the shift log. Incomplete sheets are not accepted; a supervisor who cannot complete the sheet must escalate to the site manager before departing.

Supporting records are presented in Figure 1.



Figure 1: Handover sheet fields and their purpose

1.1.2 Escalation During Handover

Some conditions cannot wait for the next routine review. Safety hazards, suspected theft, failed seals and system outages are escalated to the site manager during handover, not after it. The escalation is recorded with the time raised and the response received. Where the site manager is unreachable, the duty manager acts, and the attempt and outcome are both written on the sheet.

1.2 Handover Records and Retention

Completed handover sheets are retained in the shift log for audit and dispute resolution. Records are stored so that any past shift can be reconstructed from the sheet, the system log and the equipment register. Retention periods are set by site policy and reviewed with the cycle. Supervisors should treat the log as evidence, writing entries that a reader unfamiliar with the shift could follow without asking questions.

2 Inventory Counting and Reconciliation

Inventory accuracy depends on disciplined counting and honest reconciliation. Counts are scheduled by zone and product class, and each count is performed by someone other than the person who last handled the stock where staffing allows. Results are compared with system balances, and every variance is investigated before an adjustment is posted. The guide treats counting as a control activity, not a clerical chore.

Supporting records are presented in Figure 2.



Figure 2: Count method by zone type

2.1 Count Scheduling and Method

Counts are scheduled so that high-velocity zones are checked more often than slow-moving storage. Counters use the approved method for each zone, whether full count, spot check or

cycle count, and record the method used. Blind counts are preferred so that counters are not anchored by expected figures. The schedule is published in advance and adjusted only with the site manager's agreement.

2.1.1 Recording Count Results

Count results are recorded at the point of counting, not reconstructed afterwards. Each entry shows the location, product reference, quantity observed and the counter's identifier. Corrections are made by annotation rather than overwriting, so the original observation remains visible. The incoming supervisor reviews recorded results during handover and flags any zone where counting was interrupted or left incomplete.

2.1.1.1 Variance Investigation and Adjustment

A variance is investigated before any adjustment is posted. The investigator checks recent movements, misplacements, unrecorded returns and possible scanning errors, and documents which explanations were tested. Adjustments require approval from a supervisor who did not perform the count. Where the cause cannot be established, the variance is recorded as unexplained and monitored across subsequent counts rather than written off silently.

2.1.1.1.1 Locating Misplaced Stock

Misplaced stock is the most common explanation for a variance and should be sought before any adjustment. The investigator searches adjacent locations, overflow areas and the quarantine cage, and checks whether a put-away was scanned to the wrong bin. Findings are recorded with the location where stock was actually found. Repeated misplacements in one zone point to labelling or layout problems rather than individual error.

2.1.1.1.2 Approval and Posting of Adjustments

Adjustment approval is separated from counting and from stock handling. The approver reviews the investigation record, confirms that plausible explanations were tested, and either approves, queries or rejects the adjustment. Approved adjustments are posted promptly so that system balances reflect reality before the next shift. Rejected adjustments return to the investigator with a written reason, and the stock remains flagged until resolved.

Supporting records are presented in Table 3.

Criterion	Pass	Fail	Action
Investigation	Recorded	Missing	Query
Approver	Independent	Same counter	Reassign
Cause	Tested	Assumed	Reopen
Posting	Prompt	Delayed	Escalate

Table 3: Adjustment approval decision criteria

2.1.1.2 Cycle Count Sampling and Coverage

Cycle counting samples a rotating portion of locations so that every zone is covered within the review cycle. Sampling is planned rather than opportunistic, and coverage is tracked so that neglected zones become visible. A sample of 240 location checks per cycle is the planning

reference for coverage across the 4 sites. Counters should not select their own samples, and coverage gaps are reported at handover.

2.1.2 Discrepancy Escalation and Fraud Indicators

Most discrepancies are errors, but some patterns warrant escalation. Repeated shortfalls in one product class, missing seals, or stock found outside recorded locations without explanation are referred to the site manager. The guide does not treat these patterns as proof of wrongdoing; they are indicators that require a documented review. Escalation records distinguish observed facts from inferences drawn from them.

2.2 Improving Handover and Count Accuracy

Accuracy improves through small, sustained changes rather than periodic campaigns. Supervisors should review handover sheets and count variances together to spot recurring causes, such as unclear labelling or rushed boundaries. Suggestions are logged and reviewed at the cycle review, and adopted changes are briefed at handover. Progress is judged by fewer repeat variances and cleaner handover sheets, not by a single good week.

Supporting records are presented in Table 4.

Signal	Direction	Reviewer	Frequency
Repeat variances	Falling	Site manager	Cycle
Carry-forward tasks	Falling	Supervisor	Shift
Escalation closures	Rising	Duty manager	Cycle
Sheet completeness	Rising	Site manager	Cycle

Table 4: Signals that handover and count accuracy are improving